

Please Send Money

credit counselor, or explore a solution with her school's financial aid office. Until she does so, Jane will continue burning the candle at both ends until it finally burns out. Some danger signs of being overextended are:

- Are you arguing over your bills?
- Are you living from paycheck to paycheck?
- Can you only make the minimum payments on your charge accounts?
- Do you put off medical or dental visits because you don't have the money?
- Would you be in immediate financial difficulty if you lost your job?
- Are you afraid to add up your debt?
- Are you juggling one credit payment to make another?
- Are you receiving past due notices or calls from creditors?
- Are you unable to save?
- Are you running out of money before the next payday?
- Are you using credit cards for normal living expenses?
- Are you borrowing from family and friends?

Jane should have figured out before she started to experience any of these danger signs how much debt she could handle by completing the debt percentage worksheet introduced in Chapter 3. As a refresher, the following guidelines correspond to the percentage of your total monthly debt payments compared to one's net income.

If the debt percentage is:

Under 10 to 15 percent	Relax—Your debt to income percentage is well within acceptable guidelines.
------------------------	--

